

Street author-practitioner). Williams's thesis was as important as it was concise. The investment value of a common stock is the present value of all future dividends, the author proposed. Armed with that critical knowledge, Williams ventured to hope, investors might restrain themselves from bidding stocks back up to the moon again. Graham, in whose capacious brain dwelled the talents both of the quant and of the behavioral financier, voiced his doubts about that forecast. In order to apply Williams's method, he pointed out, one needed to make some very large assumptions about the future course of interest rates, the growth of profit, and the terminal value of the shares when growth stops. "One wonders," Graham mused, "whether there may not be too great a discrepancy between the necessarily hit-or-miss character of these assumptions and the highly refined mathematical treatment to which they are subjected." Graham closed his essay on a characteristically friendly note, commending Williams for the refreshing level-headedness of his approach and adding: "This conservatism is not really implicit in the author's formulas; but if the investor can be persuaded by higher algebra to take a sane attitude toward common-stock prices, the reviewer will cast a loud vote for higher algebra."²⁹

Graham's technical accomplishments in securities analysis, by themselves, could hardly have carried *Security Analysis* through its many editions. After all, observes Roger F. Murray, who succeeded Graham as professor of the securities analysis course at Columbia Business School, "The Graham and Dodd approach . . . gains and loses adherents with the passing phases of the securities markets."³⁰ Not all readers of the Reddit message boards during the Covid-era speculative

²⁹ Benjamin Graham, "Review of John Burr Williams's *The Theory of Investment Value* (Cambridge, MA: Harvard University Press, 1938)," *Journal of Political Economy*, vol. 47, no. 2 (April 1939), pp. 276–278.

³⁰ Roger F. Murray, "Graham and Dodd: A Durable Discipline," *Financial Analysts Journal*, Sept.-Oct. 1984, vol. 40, no. 5, pp. 18–19, 22–23.